Fiscal risk

In an ideal world, subsidies would be paid to the poorest 0.1 billion people in India, and all others would be too proud to ask for subsidies from the government. Liberal democracies, however, tend to succumb to a competitive process of pressure groups mobilizing to demand larger subsidies for themselves.

Politicians see a ready opportunity to obtain votes by paying out cash. This tends to induce an excessive focus on subsidy programmes, and a loss of prioritization for addressing market failures. In India, we have a capacity crisis in the core activities of the state. Many politicians are despondent about the extent to which expenditures in addressing market failures might impact upon voters, and are inclined towards subsidy programmes. Fixing the police and the courts is hard, and pandering to special interest groups is easy.

There is an ever-present danger of expanding the list of beneficiaries, well beyond the poorest 0.1 billion people, and in expanding the subsidy to well beyond Rs 100 a day. When subsidy payments are sent out to a large number of people, there is a greater danger of imprudent fiscal policy.

The marginal cost of public funds (MCPF)—the cost incurred by society for each rupee of public expenditure—is about Rs 3 in India. In mature market economies, the institutional arrangements for taxation and debt management are in good shape, which yields a lower marginal cost of public funds, which makes subsidy programmes more attractive. A redistributive state is a luxury that is better afforded by countries with good institutions.

Loss of focus weakens accountability

A key flaw of Indian public policy in previous decades was to view all government actions as anti-poverty programmes. This is an incorrect